



Term Evaluation Theory (Even) Semester Regular Examination February 2026

Roll no.....

Name of the Course: MBA

Semester: IV

Name of the Paper: INTERNATIONAL FINANCE

Paper Code: MBA 404 (FN3)

Time: 1.5 hour

Maximum Marks: 50

Note:

- (i) This question paper contains two Sections - A and B
- (ii) Both Sections are compulsory
- (iii) Answer any two sub questions from a, b & c in each main question of Section A. Each sub question carries 5 marks.
- (iv) Section B, consisting of a case study, is compulsory. It is of 20 Marks.

Section A

Q1. (2X5 = 10 Marks)

a. Define Purchasing Power Parity (PPP). State the assumptions of PPP. CO1

b. Explain the structure and functions of the foreign exchange market. CO1

c. Explain the factors which affect the exchange rates. CO1

Q2. (2X5 = 10 Marks)

a. Identify the factors that a company should consider when choosing between issuing bonds or equity financing in international markets? CO2

b. Discuss spot and forward exchange rates and their importance in managing currency risk. CO3

c. Explain ADR and GDR with advantages and disadvantages. CO2

Q3. (2X5 = 10 Marks)

a. Inflation in India = 6% Inflation in USA = 2% . Current spot rate = ₹ 80/USD Estimate the expected exchange rate next year using relative PPP theory. CO4

b. Assess the Time series forecasting models in international finance. CO3

c. Discuss Covered Interest Parity and explain how arbitrage ensures market equilibrium. CO4

Section B

Q4. Case Study (20 Marks)

An Indian investor has ₹ 10,000,000 available for investment for 1 year.

The following market data is available:

- Spot rate (USD/INR) = ₹ 80/USD
- 1-year Forward rate = ₹ 84/USD
- Interest rate in India = 3%



Term Evaluation Theory (Even) Semester Regular Examination February 2026

- Interest rate in USA = 6%

Questions:

1. Is Covered Interest Arbitrage possible?
 2. If yes, calculate the arbitrage profit.
 3. Explain how can deviations from Interest Rate Parity lead to arbitrage opportunities, and what strategies can investors use to exploit these?
- CO5